Question 1:

Question: Which decision(s) would be considered part of a company's working capital management strategy? I. Company ABC deciding to reduce inventory levels by offering discounts for early payment II. Company ABC increasing its credit period terms from 30 days to 60 days III. Company ABC taking out a short-term loan to finance the purchase of seasonal goods IV. Company ABC issuing new shares to fund long-term projects
Type: multiple-choice

Options:

a. I and II only

b. III and IV only

c. I and III only

d. II, III, and IV only

e. I, II, and III only

Question 2:

Question: Jane, Alex, and Mark are planning to launch an online retail business. Jane wants to have full control over the company's operations but has limited financial resources. Alex will contribute a significant amount of money to fund the venture but prefers not to be involved in day-to-day management and wishes to limit her liability to her investment only. Mark is willing to invest funds and also participate actively in managing the business, taking on a general partner role. Considering their preferences and limitations, which organizational form would best suit their needs? Additionally, what roles do Jane and Alex play in this structure?

Type: multiple-choice

Options:

A. Limited liability company; Jane as a member and Alex as a limited member

B. General partnership; Jane as a general partner and Alex as a silent partner

C. Corporation; Jane as an officer and Alex as a shareholder

D. Sole proprietorship; Jane as the sole owner and Alex providing funds without ownership

E. Limited partnership; Jane as a general partner and Alex as a limited partner

Question 3:

Question: A company issues several bonds with different characteristics. Which bond among these would likely have the highest price volatility if market interest rates were to change significantly? Type: multiple-choice Options:

a. A short-term bond with a high coupon rate

b. A long-term bond with a low coupon rate

c. A zero-coupon bond maturing in 1 year

d. An intermediate-term bond with a face value premium

e. A short-term floating-rate note

Question 4:

Question: Investors are comparing four different bonds to determine which one carries the least interest rate risk. Bond X has a maturity of 15 years, pays an annual coupon of $80, and has a face value of $2,000. Bond Y is a zero-coupon bond maturing in 7 years with a face value of $3,000. Bond Z matures in 10 years, offers a semiannual coupon payment of $45, and has a face value of $1,000. Bond W is a 20-year bond that pays an annual coupon rate of 6% on a face value of $2,500. Which of the following bonds has the lowest interest rate risk?

Type: multiple-choice

Options:

A. Bond X

B. Bond Y

C. Bond Z

D. Bond W

E. None of the above

Question 5:

Question: You have been offered two investment options with similar conditions except for their interest rates and compounding methods. Investment X offers an APR of 6%, compounded monthly, while Investment Y offers an APR of 5.9%, compounded daily. Which investment would provide a higher effective annual rate (EAR), and why? Type: multiple-choice Options:

A. X; the EAR is higher due to more frequent compounding.

B. Y; the EAR is higher due to more frequent compounding.

C. X; despite fewer compounding periods, the APR is slightly higher.

D. Y; although the daily compounding is more frequent, the lower APR makes it less favorable.

E. Both investments have equivalent EARs given their close APR values and moderate compounding frequencies.

Question 6:

Question: XYZ Corp paid out a dividend of $3 per share this year, with an expected constant growth rate of 4% annually. If the stock's current price is $150 and it increases to $162 next year after paying the first-year dividend, what are the required return, capital gains yield, and dividend yield for XYZ Corp? Type: multiple-choice Options:

a. 8%, 8%, 4%

b. 9%, 7%, 3%

c. 10%, 5%, 5%

d. 6%, 2%, 4%

e. 7%, 4%, 3%

Question 7:

Question: A company issued bonds with a face value of $1,000 and a maturity of 25 years. These bonds make semi-annual coupon payments and are currently trading at $980. If the yield to maturity is 6%, what is the annual coupon payment? Type: multiple-choice
Options:

A. $30

B. $40

C. $50

D. $60

E. $70

Question 8:

Question: Company Delta paid out a $40 per share dividend yesterday, which will grow at an annual rate of 3% indefinitely. The current market price of the stock is $1250. Given this information and assuming a required return of 8%, determine whether the following statements are true or false:
I. The intrinsic value of Company Delta's stock is currently lower than its market price.

II. An investor buying Company Delta's stock today can expect a higher rate of return compared to another company in the same industry with a constant dividend and a required return of 7%.
Type: multiple-choice

Options:

a. Both statements are true

b. I only

c. II only

d. Neither statement is true

Question 9:

Question: You invest $200,000 today into an annuity that will pay you a fixed amount at the end of each year for 15 years. If the annual payment is structured to recover your initial investment exactly by the end of the 15th year, what is the approximate annual percentage rate (APR) of this annuity? Type: multiple-choice Options:

A. 4.2%

B. 4.7%

C. 5.3%

D. 6.0%

E. 6.8%

Question 10:

Question: In the context of yield curves, which statement(s) accurately reflect situations where yield curve shapes can change based on market expectations? I. If investors expect future short-term interest rates to rise above current levels, the upward slope of the yield curve may steepen. II. When economic data suggests a potential downturn, flattening or inversion of the yield curve might occur due to expected decreases in long-term interest rates. III. A sudden increase in demand for longer-term bonds can cause the yield curve to become more downward sloping as investors anticipate lower future returns on short-term investments.

Type: multiple-choice

Options:

a. I and II only

b. II and III only

c. I, II and III

d. None of the statements are true

Question 11:

Question: You are currently 35 years old and plan to retire at age 65. Your goal is to have enough savings to support an annual withdrawal of $70,000 for the first year after retirement, increasing by 2% each subsequent year due to inflation. The average annual return on your investments before and during retirement is expected to be 5%, compounded annually. Additionally, you aim to take a lump sum payment of $150,000 in the third year after you retire for home renovations. How much do you need to save each year from now until retirement if you start making these contributions at age 36 and continue until retirement?

Type: long-answer
Options: No options provided.

Question 12:

Question: XYZ Corporation issued two bonds, Bond C and Bond D. Bond C has a coupon rate of 10% with semi-annual payments, matures in 5 years, and is currently selling at $980 with a face value of $1,000. Bond D was recently issued as a premium bond with a coupon rate of 7%, paying interest annually, maturing in 20 years, and sold for 110% of its par value. The yield to maturity (YTM) for both bonds is currently 6%.

a. What is the current yield of Bond C?

b. What is the premium or discount amount on Bond D at issuance?

c. If you purchase Bond D today and sell it in 5 years when the YTM drops to 4%, what would be your holding period return (HPR) for Bond D?

Type: short-answer

Options: No options provided.

Question 13:

Question: A tech startup, Company VX, has secured a contract to develop a custom software solution for Enterprise Solutions Inc., which will take exactly five years to complete. The total cost of this project is estimated at $10 million today, with Enterprise Solutions Inc. agreeing to pay Company VX $12 million upon completion in one lump sum payment, two months after the project's end. To finance this venture, Company VX has taken out a loan covering 75% of the project costs over a period of 30 years at an annual percentage rate (APR) of 4%, with monthly repayments starting from the month following the loan disbursement.

a. What is the monthly repayment amount for Company VX under these conditions?

b. If, after five years and immediately after making the monthly payment due in that month, Company VX decides to settle all remaining debt obligations towards the loan through a single balloon payment, what would be the size of this lump sum? Type: short-answer

Options: No options provided.

Question 14:

ABC Corp just paid a dividend of $4 per share on January 1st, 2023, with plans to decrease dividends by $1 each year for the next two years due to planned expansions. After this period, no dividends will be paid while the expansion project is underway until 2026 when regular payments resume at a dividend of $2 per share and are expected to grow indefinitely at an annual rate starting from 3% and increasing by 1 percentage point each year until it reaches 5%, after which it remains constant. The required return for ABC Corp's stock is 8%. What was the price of the stock on January 1st, 2023? Type: short-answer Options: No options provided.